Gayathri Gomez   20/10/25

SECTION B

Answer THREE questions from this section.

Indicate which question you are answering by marking a cross in the box ☒. If you change your mind, put a line through the box ☒ and then indicate your new question with a cross ☒.

If you answer Question 3 put a cross in the box ☒ .

Source material for Question 3 is on pages 10 and 11 of the Source Booklet.

3 (a) Prepare the trial balance for the Hillside Sports Club at 30 April 2022 including the balance of the accumulated fund at that date.

(9)

Hillside Sports Club
Trial Balance at 30 April 2022

	Dr £	Cr £
Subscriptions received (in)		2,950
Trade payables (L)		1,850
Rent payable (exp)	1,500	
Telephone charges (exp)	320	
Equipment (cost) (A)	4,510	
Equipment – provision for depreciation * (A)		1,100
Bank overdraft (L)	~~46~~	70
Equipment repairs (exp)	600	
Disposal account (profit on sale) (In)		150
Sale of dance tickets (in)		2,100
Catering cost for dance (exp)	390	~~340~~
Hire of band for dance (exp)	500	
Donations received (in)		300
Sundry expenses (exp)	1,450	
Accumulated fund		750
	9,270	9,270

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(b) Calculate the profit or loss of the dance.

(5)

Income		
• Sale of dance tickets (2,100 + 580)	2,680	→ 2,680
•		
•		
•		
Expense.		
• Catering cost (390 + 910)	1,300	
• Hire of band (500 + 750	1,250	2,550
•		
		130

① (1) Catering cost → 390 → 30%. 390 × $\frac{70}{30}$ = 910 + 390 = 1,300
x → 70%.

(2) Hire of band
→ 500 → ~~60%~~ 40%.
x → ~~40%~~ 60%.

500 × $\frac{60}{40}$ = 750
+ 500
1,250

② Subscriptions.

$\boxed{I/E \quad 3,610}$	R/p 2,950
31/4/22 C/D 200	31/4/22 c/D 860
	3,810
1/5/22 B/F 860	1/5/22 B/F 200

③ Depreciation.

Cost 4,510 + 250
(−) Prov. for dep (1,100)
CV 3,660
(−) (−)
Revalued amount 3,310
350

P 6 6 1 8 2 A 0 2 3 4 0

Turn over ▶

(c) Prepare the Income and Expenditure Account for the year ended 30 April 2022.

(10)

Income.		
~~Sale of door~~ Subscription	3,610	
Profit on dance	130	
Profit on disposal	150	
Donations	300	
		4,190
Expense.		
Telephone charges	320	
Equipment repair (600 - 250)	350	
Sundry expense	1,450	
Depreciation on equipment	350	
		(2,470)
Surplus		1,720

(d) Evaluate the financial position of the Hillside Sports Club.

(6)

(Total for Question 3 = 30 marks)

If you answer Question 4 put a cross in the box ☒ .

Source material for Question 4 is on pages 12 and 13 of the Source Booklet.

4 (a) State **four** reasons why Marvin might prepare control accounts.

(4)

1 To detect errors

2 To prepare Supplies and customers account

3 To prepare financial statements

4 To Know when the business should remind trade receivable on payments and charge intrest on late payments and to pay trade payable.

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(b) Prepare the Trade Receivables Ledger Control Account for the month of April 2022.

(10)

1/4/22 B/F 8,700	1/4/22 B/F 250
Credit Sales 8,900	Receipts from Customer 7,930
Dishounered cheque 420	Return inward 550
Intrest chorged 80	Discout allowed 350
	Contra/Set off 50
	Irrecoverable debt 730
31/~~12~~ 4/22 C/D 400	31/4/22 ~~B/F~~ C/D 8,640
18,500	18,500
1/5/22 B/F 8,640	1/5/22 B/F 400

(c) Prepare the extract from the Statement of Financial Position showing the trade receivables balance at 30 April 2022.

(3)

Current asset.		
• Trade receivable	8,640	
• Irrecoverable debt	730	
• Bank	7,930	
		17,300

TR

(d) Prepare the B Luck Account in the books of Marvin.

(7)

~~Dishonoured cheque~~	~~Marvin 28,350~~
- ~~ue2 4920~~	1/4/22 B/F 420
13/4/22 Bank 420	~~Irrecoverable debt 700~~
Purchase 120	

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(e) Evaluate whether it is ever possible for Marvin to avoid **all** *irrecoverable debts.*

(6)

(Total for Question 4 = 30 marks)

If you answer Question 5 put a cross in the box ☒ .

Source material for Question 5 is on pages 14 and 15 of the Source Booklet.

5 (a) Explain the following terms:

(4)

- overhead allocation

when overheads are directly specific for the department

- overhead apportionment.

when overheads should be divided based on suitable basis.

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(b) Prepare for the year ended 30 April 2022, the:

(i) Manufacturing Account

(16)

Opening inventory raw materials	20,500	
Purchase of raw materials	134,250	
Carriage inward		
(–) Return outward		
(–) Closing inventory of raw materials	(18,900)	
Cost of material consumed	135,850	
Direct wages	165,750	
Direct other cost · Royalties (10,200 × 30/50)	5,400	
Prime cost	~~10,200~~ 6,120	~~317,000~~ 313,120
Factory overheads		
· Indirect production expense	3,600	
· Rent and rates (27,000 × 1,400 ÷ 1,800)	21,000	
· Electricity and power (7,200 × ~~700~~ 600 ÷ ~~4,100~~ 900)	4,800	
· Canteen cost (18,000 × 30 ÷ 50)	10,800	→ 61,200
· Depreciation of non current asset (33,000 × 700 ÷ 1,100)	21,000	~~612,000~~ ~~106,200~~ ~~61,200~~
· ~~Management salary (75,000 × 30/50)~~	~~45,000~~	
~~Total cost~~ ~~Opening WIP~~	~~42,100~~	~~378,400~~ ~~419,320~~
~~Profit × 15%~~ ~~(–) closing WIP~~	~~(38,700)~~	~~56,760~~ ~~62,898~~
~~Total transfer value~~		~~482,218~~
Opening WIP	42,100	
(–) Closing WIP	(38,700)	3,400
Total cost		377,720

Profit x 15 %.		56,658
Total transfer value		434,378

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(ii) Provision for Unrealised Profit Account.

(4)

	1/5/21 B/F 6,700
$\boxed{\text{30/4/22 I/S 400}}$	
income (decrease)	
30/~~5~~4/22 c/D ~~400~~ 6,300	
6,700	6,700

Closing stock of finished good $\times \frac{\text{Profit}}{100 + \text{Profit}}$

$$48,300 \times \frac{15\%}{100+15}$$

$$= 6,300$$

The Management of Harptree Manufacturing is considering changing the method of remuneration for production workers to a group bonus scheme basis.

(c) Evaluate the proposed change in the remuneration method.

(6)

~~B~~ Bonus scheme basis will allow to increase the productivity and efficiency of workers resulting in an increase of high quality goods being produced. As employees are motivated to work from bonus, it'll result in them being loyal and retained in the business which leads to a decrease in training and ~~at~~ recruitment fees.
Group bonus scheme will increase the skills of workers.
However, it's costly which results in an increase of expenses. Unproductive staff receives bonus which will result in demotivated ~~[illegible]~~ high performance staff. There may be high conflicts between workers which may lead to staff leaving the business. The business may receive losses due to an increase in expenses.

~~A~~

~~I~~ In conclusion, as employees are satisfied it'll result in higher sales due to high quality goods and positive word of mouth resulting in more ethical investors investing in the business which result in an increase of capital as the business treats their employees well as afore mentioned.

(Total for Question 5 = 30 marks)

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If you answer Question 6 put a cross in the box ☐ .

Source material for Question 6 is on pages 16 and 17 of the Source Booklet.

6 (a) Explain how the following accounting concepts and conventions would be applied in the recording of non-current assets and charging depreciation.

(i) Historic cost

(2)

....

....

....

....

(ii) Consistency

(2)

....

....

....

....

(iii) Going concern

(2)

....

....

....

....

(b) Calculate the total depreciation charge on equipment for the year ended 30 April 2022.

(4)

....

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....

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(c) Prepare for the year ended 30 April 2022, the:

(i) Equipment Account

(4)

(ii) Equipment – Provision for Depreciation Account

(3)

(iii) Disposal Account.

(4)

(d) State **three disadvantages** of using the revaluation method for charging depreciation.

(3)

1

2

3

(e) Evaluate whether Highgate Construction should continue to use the straight-line method for depreciating the equipment.

(6)

(Total for Question 6 = 30 marks)

TOTAL FOR SECTION B = 90 MARKS
TOTAL FOR PAPER = 200 MARKS